

We will get deep, very deep, into the difference between the answers of Fat Tony and Dr. John; this is probably the most vexing problem I know about the connections between two varieties of knowledge, what we dub Platonic and a-Platonic. Simply, people like Dr. John can cause Black Swans outside Mediocristan—their minds are closed. While the problem is very general, one of its nastiest illusions is what I call the ludic fallacy—the attributes of the uncertainty we face in real life have little connection to the sterilized ones we encounter in exams and games.

So I close Part One with the following story.

#### LUNCH AT LAKE COMO

One spring day a few years ago, I was surprised to receive an invitation from a think tank sponsored by the United States Defense Department to a brainstorming session on risk that was to take place in Las Vegas the following fall. The person who invited me announced on the phone, “We’ll have lunch on a terrace overlooking Lake Como,” which put me in a state of severe distress. Las Vegas (along with its sibling the emirate of Dubai) is perhaps one place I’d never wish to visit before I die. Lunch at “fake Como” would be torture. But I’m glad I went.

The think tank had gathered a nonpolitical collection of people they called doers and scholars (and practitioners like me who do not accept the distinction) involved in uncertainty in a variety of disciplines. And they symbolically picked a major casino as a venue.

The symposium was a closed-doors, synod-style assembly of people who would never have mixed otherwise. My first surprise was to discover that the military people there thought, behaved, and acted like philosophers—far more so than the philosophers we will see splitting hairs in their weekly colloquium in Part Three. They thought out of the box, like traders, except much better and without fear of introspection. An assistant secretary of defense was among us, but had I not known his profession I would have thought he was a practitioner of skeptical empiricism. Even an engineering investigator who had examined the cause of a space shuttle explosion was thoughtful and open-minded. I came out of the meeting realizing that only military people deal with randomness with genuine, introspective intellectual honesty—unlike academics and corporate executives using other people’s money. This does not show in war movies, where they are usually portrayed as war-hungry autocrats. The people in front of me were not the people who initiate wars. Indeed, for many, the successful defense policy is the one that manages to eliminate potential dangers without war, such as the strategy of bankrupting the Russians through the escalation in defense spending. When I expressed